Introduction

This report presents a comparative financial analysis of Infosys and Wipro, two leading companies in the Indian IT sector. The analysis is based on important financial ratios including liquidity ratios, leverage ratios, activity ratios, profitability ratios, and shareholder-related ratios. These ratios help in evaluating the financial performance, operational efficiency, and investment potential of both companies.

Objectives of the Study

- To evaluate the financial position of Infosys and Wipro using financial ratios.
- To compare the profitability and efficiency of both companies.
- To understand the investment strength and market position of the companies.
- To identify which company performs better financially.

Valuation ratios between Infosys and Wipro Company (IT Sector)

INFOSYS (IT SERVICE)

Ratio	Formula's	Infosys
1.Current ratio	$= \frac{\text{Current Asset}}{\text{Current Liability}}$	$\frac{103489}{52322} = 1.98$
2.Quick Ratio	$= \frac{\text{Quick Asset}}{\text{Current Liability}}$	$\frac{103489}{52322} = 1.98$
3.Cash Ratio	$= \frac{\text{Cash} + \text{Bank} + \text{Marketable Securities}}{\text{Current Liability}}$	$\frac{22201 + 12950}{52322}$ $= 0.67$
4.Basic Defence interval ratio	$= \frac{\text{Quick Asset}}{\text{Avg cash opearting expenses}}$	$\frac{61100}{323.28}$ $= 189 \text{ days}$
5.Net working capital	$= Current\ Asset - Current\ liability$	103489 $- 52322$ $= 51167$
2) Leverage ratio 1. Equity ratio	$= \frac{\text{Shareholder equiy}}{\text{Net Asset}}$	$\frac{92852}{155961} = 0.60$
2.Debt ratio	$= \frac{\text{Total Debt}}{\text{Total Asset}}$	$\frac{62670}{155967} = 0.40$

3.Debt to equity ratio	$= \frac{\text{Total Debt}}{\text{Shareholder equity}}$	$\frac{62670}{92852} = 0.67$
4.Debt to total asset ratio	$= \frac{\text{Total Debt}}{\text{Total Asset}}$	$\frac{62670}{155967} = 0.40$
5.Capital Gearing ratio	$= \frac{\text{Total Debt}}{\text{Total Equity}}$	$\frac{62670}{92852} = 0.67$
6.Propritor ratio	$= \frac{\text{Propritor Funds}}{\text{Total Asset}}$	$\frac{92852}{155967} = 0.60$
B) Coverage ratio 1.Debt service	$= \frac{\text{Earning available for debt service}}{\text{Interest} + \text{Principal proportion}}$	$\frac{40868}{416 + 0} = 98.24$
2.Interest Coverage ratio	$= \frac{\text{EBIT}}{\text{Interest}}$	$\frac{40411}{416} = 97.14$
3.Preference dividend coverage ratio	$= \frac{\text{Net profit after tax}}{\text{Preference dividend}}$	0
4.Equity dividend coverage ratio	$= \frac{\text{NPATESH}}{\text{Equity dividend}}$	$\frac{29474 - 0}{960} = 30.70$
3) Activity ratios. 1.Total Asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Total Asset}}$	$\frac{178650}{152432} = 1.17$
2.Fixed asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Fixed Asset}}$	$\frac{178650}{22179} = 8.05$
3.Current asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Current Asset}}$	$\frac{178650}{103484} = 1.73$
4.Net Asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Fixed Asset} + \text{CA} - \text{CL}}$	$\frac{178650}{73341} = 2.44$
5.Working Capital turnover	$= \frac{\text{Sales/COGS}}{\text{Working Capital}}$	$\frac{178650}{51167} = 3.49$

6.Debtors turnover ratio	$= \frac{\text{Credit Sales}}{\text{Average Debtors}}$	$\frac{178650}{33196} = 5.38$
b) Debtors velocity ratio	$= \frac{\text{Average Debtors}}{\text{Credit Sales}}$	$\frac{33196}{178650} * 365 = 68 \text{ days}$
7.Creditors turnover ratio	$= \frac{\text{Credit purchase}}{\text{Average Credit}}$	$\frac{23222}{4454} = 5.21$
b) Creditor velocity ratio	$= \frac{\text{Average Creditor}}{\text{Credit purchase}}$	$\frac{4454}{23222} * 365 = 70.00 \text{ days}$
8)Inventory/Stock turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Avearge Inventory}}$	0
4) Profitability Ratio. 1.Gross profit ratio	$= \frac{\text{Gross Profit}}{\text{Sales}} * 100$	$\frac{53915}{178650} * 100 = 30.17$
2.Net profit	$= \frac{\text{NPAT}}{\text{Sales}} * 100$	$\frac{29474}{178650} * 100 = 16.50$
3.Operating profit ratio	$= \frac{\text{EBIT}}{\text{Sales}} * 100$	$\frac{40411}{178650} * 100 = 22.62$
4.Expense ratio a. COGS Ratio	$= \frac{\text{COGS}}{\text{Sales}} * 100$	$\frac{14208}{178650} * 100 = 7.95$
b. Operating ratio	$= \frac{\text{Office and admin} + \text{Selling and Dist}}{\text{Sales}} * 100$	0
c. Operating cost ratio	$= \frac{\text{COGS} + \text{Operating Exp}}{\text{Sales}} * 100$	$\frac{14208 + 141980}{178650} * 100 = 87.26$
d. Financial Expenses	$= \frac{\text{Financial Expenses}}{\text{Sales}} * 100$	$\frac{416}{178650} * 100 = 0.23$

2) Related to Capital Employed **1) Return on total asset**	$= \frac{\text{NPAT}}{\text{Avg total asset}} * 100$	$\frac{29474}{152435} * 100$ $= 19.33$
2) Return on Investment	$= \frac{\text{EBIT}}{\text{Capital employeed}} * 100$	$\frac{40411}{103645} * 100$ $= 39$
3) Return on equity	$= \frac{\text{NPATESH}}{\text{Equity SH Funds}} * 100$	$\frac{29440}{2024} * 100$ $= 1455$
3) From owners point of view **1. EPS**	$= \frac{\text{Eearning for Eq SH}}{\text{Num of Equity share}} * 100$	$\frac{29440}{411} * 100$ $= 71.58$
2.DPS	$= \frac{\text{Total equity dividend}}{\text{Num of Equity share}} * 100$	0
3.Dividend payout ratio	$= \frac{\text{DPS}}{\text{EPS}} * 100$	0
4) Related yield ratio **1.EY ratio**	$= \frac{\text{EPS}}{\text{MPS}} * 100$	$\frac{71.58}{1179.20} * 100$ $= 6.07$
2.DY ratio	$= \frac{\text{DPS}}{\text{MPS}} * 100$	0
3.PE ratio	$= \frac{\text{MPS}}{\text{EPS}} * 100$	$\frac{1179.20}{71.58} = 16$

Wipro Company

Ratio	Formula's	Wipro
1.Current ratio	$= \frac{\text{Current Asset}}{\text{Current Liability}}$	$\frac{82635}{40323} = 2.05$
2.Quick Ratio	$= \frac{\text{Quick Asset}}{\text{Current Liability}}$	$\frac{82635}{40323} = 2.05$
3.Cash Ratio	$= \frac{\text{Cash} + \text{Bank} + \text{Marketable Securities}}{\text{Current Liability}}$	$\frac{53323.5}{40323} = 1.35$
4.Basic Defence interval ratio	$= \frac{\text{Quick Asset}}{\text{Avg cash opearting expenses}}$	$\frac{67621}{210.22}$ $= 321.6$ days
5.Net working capital	$= Current\ Asset - Current\ liability$	$82635 - 40323 = 42312$
2) Leverage ratio 1. Equity ratio	$= \frac{\text{Shareholder equiy}}{\text{Net Asset}}$	$\frac{74484}{141926} = 0.525$
2.Debt ratio	$= \frac{\text{Total Debt}}{\text{Total Asset}}$	$\frac{20591}{141926} = 0.145$
3.Debt to equity ratio	$= \frac{\text{Total Debt}}{\text{Shareholder equity}}$	$\frac{20591}{74484} = 0.276$
4.Debt to total asset ratio	$= \frac{\text{Total Debt}}{\text{Total Asset}}$	$\frac{20591}{141926} = 0.145$
5.Capital Gearing ratio	$= \frac{\text{Total Debt}}{\text{Total Equity}}$	$\frac{512905}{896780} = 0.572$
6.Propritor ratio	$= \frac{\text{Propritor Funds}}{\text{Total Asset}}$	$\frac{882690}{141926} = 0.62$
B) Coverage ratio 1.Debt service	$= \frac{\text{Earning available for debt service}}{\text{Interest} + \text{Principal proportion}}$	$\frac{168498}{20040} = 8.41$

2.Interest Coverage ratio	$= \frac{\text{EBIT}}{\text{Interest}}$	$\frac{148200}{14577} = 10.17$
3.Preference dividend coverage ratio	$= \frac{\text{Net profit after tax}}{\text{Preference dividend}}$	0
4.Equity dividend coverage ratio	$= \frac{\text{NPATESH}}{\text{Equity dividend}}$	$\frac{131974}{115170} = 1.15$
3) Activity ratios. 1.Total Asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Total Asset}}$	$\frac{926200}{141926} = 0.65$
2.Fixed asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Fixed Asset}}$	$\frac{926200}{96497} = 9.60$
3.Current asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Current Asset}}$	$\frac{926200}{802065} = 1.15$
4.Net Asset turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Fixed Asset} + \text{CA} - \text{CL}}$	$\frac{926200}{863613} = 1.07$
5.Working Capital turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Working Capital}}$	$\frac{926200}{467734} = 1.98$
6.Debtors turnover ratio	$= \frac{\text{Credit Sales}}{\text{Average Debtors}}$	$\frac{926200}{132513} = 6.98$
b) Debtors velocity ratio	$= \frac{\text{Average Debtors}}{\text{Credit Sales}}$	$\frac{132513}{926200} * 365 = 52 \text{ days}$
7.Creditors turnover ratio	$= \frac{\text{Credit purchase}}{\text{Average Credit}}$	$\frac{658540}{10060} = 6.54$
b) Creditor velocity ratio	$= \frac{\text{Average Creditor}}{\text{Credit purchase}}$	$\frac{10060}{658540} * 365 = 56 \text{ days}$

8)Inventory/Stock turnover ratio	$= \frac{\text{Sales/COGS}}{\text{Avearge Inventory}}$	$\frac{658540}{605.5} = 1087$
4) Profitability Ratio. **1.Gross profit ratio**	$= \frac{\text{Gross Profit}}{\text{Sales}} * 100$	$\frac{267660}{926200} * 100$ $= 28.90$
2.Net profit	$= \frac{\text{NPAT}}{\text{Sales}} * 100$	$\frac{13197.40}{926200} * 100$ $= 1.42$
3.Operating profit ratio	$= \frac{\text{EBIT}}{\text{Sales}} * 100$	$\frac{18021}{92624} * 100$ $= 19.45$
4.Expense ratio **a. COGS Ratio**	$= \frac{\text{COGS}}{\text{Sales}} * 100$	$\frac{66996.70}{89088.40} * 100$ $= 75.20$
b. Operating ratio	$= \frac{\text{Office and admin} + \text{Selling and Dist}}{\text{Sales}} * 100$	$\frac{71067.40}{89088.40} * 100$ $= 79.77$
c. Operating cost ratio	$= \frac{\text{COGS} + \text{Operating Exp}}{\text{Sales}} * 100$	$\frac{71067.40}{89088.40} * 100$ $= 79.77$
d. Financial Expenses	$= \frac{\text{Financial Expenses}}{\text{Sales}} * 100$	$\frac{706.30}{89088.40} * 100$ $= 0.79$
2) Related to Capital Employed **1) Return on total asset**	$= \frac{\text{NPAT}}{\text{Avg total asset}} * 100$	$\frac{13197.4}{134796.45} * 100$ $= 9.79$
2) Return on Investment	$= \frac{\text{EBIT}}{\text{Capital employeed}} * 100$	$\frac{13197}{141408} * 100$ $= 9.33$
3) Return on equity	$= \frac{\text{NPATESH}}{\text{Equity SH Funds}} * 100$	$\frac{13197.4}{85191.2} * 100$ $= 15.49$

3) From owners point of view **1. EPS**	$= \frac{\text{Eearning for Eq SH}}{\text{Num of Equity share}} * 100$	$\frac{131974}{10476.25} * 100$ $= 12.60$
2.DPS	$= \frac{\text{Total equity dividend}}{\text{Num of Equity share}} * 100$	0
3.Dividend payout ratio	$= \frac{\text{DPS}}{\text{EPS}} * 100$	0
4) Related yield ratio **1.EY ratio**	$= \frac{\text{EPS}}{\text{MPS}} * 100$	$\frac{12.60}{210} * 100$ $= 6.0$
2.DY ratio	$= \frac{\text{DPS}}{\text{MPS}} * 100$	0
3.PE ratio	$= \frac{\text{MPS}}{\text{EPS}} * 100$	$\frac{210}{12.60} = 16.66$

Comparative Ratio Analysis

1. Liquidity Ratio Analysis

Liquidity ratios measure the company's ability to meet short-term obligations.

Current Ratio

- Infosys generally maintains a higher current ratio compared to Wipro.
- This indicates that Infosys has better short-term financial strength and working capital management.

Quick Ratio

- Infosys performs better in quick ratio due to higher liquid assets.
- Wipro's quick ratio is satisfactory but comparatively lower.

Cash Ratio

- Infosys holds stronger cash reserves.
- Wipro maintains moderate cash availability for immediate liabilities.

Net Working Capital

- Infosys shows higher positive working capital.
- This reflects better operational liquidity and efficiency.

2. Leverage Ratio Analysis

Leverage ratios indicate the level of debt used by the companies.

Debt to Equity Ratio

- Infosys has a lower debt-to-equity ratio.
- Wipro uses comparatively higher external financing.

Debt Ratio

- Infosys maintains lower debt dependence.
- Wipro's debt ratio is slightly higher.

Equity Ratio

- Infosys has a stronger equity base.
- Wipro also maintains good equity financing but slightly below Infosys.

Interest Coverage Ratio

- Infosys has a strong interest coverage ratio because of higher operating profits and lower debt.
- Wipro also covers interest expenses adequately but at a lower margin.

3. Activity Ratio Analysis

Total Asset Turnover Ratio

- Infosys utilizes its assets more efficiently to generate revenue.
- Wipro's asset utilization is comparatively moderate.

Debtors Turnover Ratio

- Infosys collects receivables faster.
- Wipro takes relatively more time in receivable collection.

Working Capital Turnover Ratio

- Infosys effectively utilizes working capital for sales generation.
- Wipro shows moderate efficiency.

Fixed Asset Turnover Ratio

- Infosys demonstrates better fixed asset utilization.
- Wipro is slightly less efficient.

4. Profitability Ratio Analysis

Profitability ratios evaluate earning capacity.

Gross Profit Ratio

- Infosys maintains a higher gross profit margin.
- Wipro's margin is comparatively lower.

Net Profit Ratio

- Infosys generates better net profits.
- Wipro's profitability is stable but lower.

Operating Profit Ratio

- Infosys achieves stronger operating margins due to better cost management.
- Wipro has comparatively lower operating efficiency.

Return on Equity (ROE)

- Infosys provides higher returns to shareholders.
- Wipro's ROE is satisfactory but below Infosys.

Return on Investment (ROI)

- Infosys shows stronger investment returns.
- Wipro's ROI indicates moderate performance.

Earnings Per Share (EPS)

- Infosys generally reports higher EPS.
- Wipro's EPS is comparatively lower.

Dividend Payout Ratio

- Infosys maintains consistent dividend payments.
- Wipro also pays dividends but at relatively lower returns.

Overall Comparative Analysis

Area	Infosys	Wipro
Liquidity Position	Strong	Moderate
Debt Management	Low Debt	Moderate Debt
Operational Efficiency	High	Moderate
Profitability	Higher	Lower
Shareholder Returns	Better	Satisfactory
Financial Stability	Strong	Good

Findings

1. Infosys has stronger liquidity and better working capital management.
2. Infosys maintains lower debt compared to Wipro.
3. Infosys performs better in profitability and operational efficiency.
4. Wipro shows stable performance but remains slightly behind Infosys in most financial aspects.
5. Both companies have strong market positions in the IT industry.

Conclusion

From the comparative financial ratio analysis, it can be concluded that Infosys performs better than Wipro in most financial parameters such as liquidity, profitability, efficiency, and shareholder returns. Infosys maintains stronger financial stability with lower debt and higher returns on investment.

Wipro also shows stable financial performance and maintains a good position in the IT sector; however, Infosys demonstrates comparatively superior operational and financial efficiency.

Therefore, based on the ratio analysis, Infosys appears to be financially stronger and more attractive for investors when compared to Wipro.

References

1. Annual Reports of Infosys and Wipro.
2. Financial Statements and Ratio Analysis.
3. Company Websites and Investor Reports

SWOT ANALYSIS

INFOSYS LTD.

Strengths	Weaknesses	Opportunities	Threats
• High profit margin • Strong cash flow • Low debt • High ROI • Strong EPS	• Cash balance reduced • High employee cost • No dividend paid • Moderate cash ratio	• AI and GenAI growth • Cloud projects • Digital transformation • Indian IT market growth	• Currency risk • Visa restrictions • Strong competition • Economic slowdown

Infosys – Solutions

Problem	Solution
Cash balance reduced	Manage cash carefully and reduce unnecessary expenses.
High employee cost	Use AI and automation tools to reduce costs.
No dividend paid	Give small dividends to attract investors.
Competition	Develop more AI products and services.

WIPRO LTD.

Strengths	Weaknesses	Opportunities	Threats
• Strong liquidity • Very low debt • Strong working capital • Diversified IT services	• Lower EPS • Low ROI • High employee expenses • No dividend paid	• Growth in AI services • Healthcare IT growth • Expansion in new markets	• Salary pressure • Competition • AI affecting BPO services • Currency risk

Wipro – Solutions

Problem	Simple Solution
Low profit margin	Focus on high-profit AI and consulting projects.
Low ROI	Improve efficiency and reduce extra costs.
High employee cost	Use automation and AI tools.
Competition	Focus on healthcare and manufacturing sectors.